

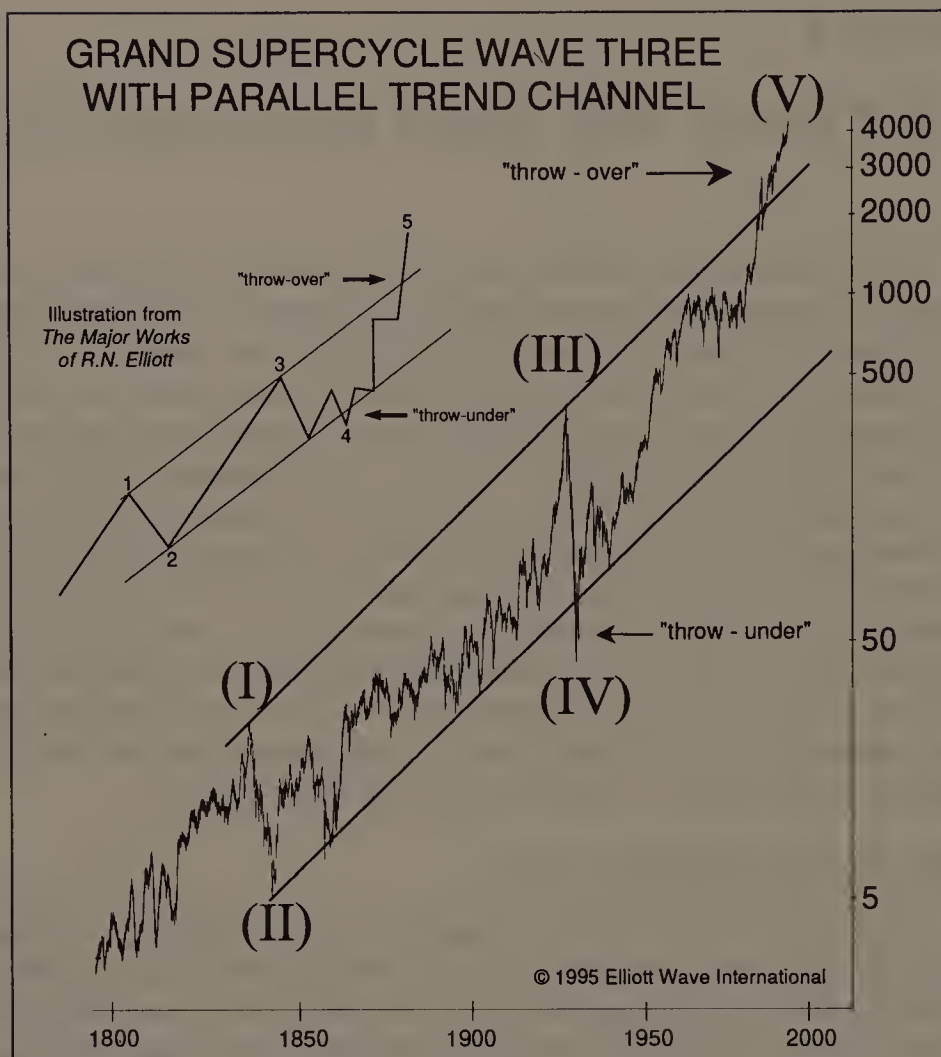


Figure 2-1

resulting chart revealed a *clear five wave structure in progress from the late 1700s*, making it nearly certain that an advance of “Grand Supercycle” degree started at that time. *Elliott Wave Principle* presented the full wave count through 1977. The chart we showed then was of inflation-adjusted stock prices, which we will review in Chapter 3. Both that and the plot of actual U.S. stock prices shown in Figure 2-1 form excellent Elliott Waves.

From a low in the late 1700s, prices have risen in three distinct phases separated by two bear markets of the same degree. Usually second and fourth waves alternate in form, as you will see in all but a handful of the five-wave patterns illustrated in this book. The only aspect of this structure that is less than ideal is that both waves